

current fund. He would be doing the exact same research and investment management he is doing now.

Daly is tall, trim, and very fit looking. He regularly mountain bikes—his other main hobby besides investing—in the steep hills that sit behind his house. One of the trail junctions—Five Corners—is the origin of his fund’s name (Five Corners Partners, LP). I interviewed Daly in the comfortable living room of his home in the exurbs of San Francisco. He was relaxed and low key. I could see him remaining unfazed and sedate even in panic markets.



How did you get started in the financial industry?

My first interview after graduating business school was at a small regional investment bank. I was interviewed by Alan Hoefer, who was one of the firm’s three partners. During the interview, he asked me if I had ever heard of Warren Buffett. “No,” I answered. “Well, what are they teaching you in business school these days?” he asked. It was a long interview, and I didn’t think I did particularly well. I took mental notes, and after the interview I started doing my own research. I got Buffett’s annual letters. I read up on the companies Hoefer had mentioned in the interview. Weeks went by, and I didn’t hear back from him. I assumed that was it.

Why did you think you did poorly in the interview?

Well, for starters, I didn’t even know who Buffett was.

It reminds me of my first interview after graduate school. I had a degree in economics, but they taught you nothing about the markets. The interview was for a job opening as a commodity research analyst. The research director asked me if I knew anything about commodities. “Not really,” I said, “something like gold.” My answer was so bad that I still remember it after all these years. Fortunately, I still got the job because I wrote my way into it. The story about your interview strikes a familiar chord. You come out of an academic background with good credentials, but you know absolutely nothing, and can’t answer the simplest question in a job interview.